Accounting for Lease (IFRS 16)

Objectives

1. Define a Lease
2. Define a Lessee and a Lessor
3. Books of the lessee
4. Identifying Lease Contract

Introduction

Definition of a Lease.

Under IFRS 16 a lease is defined as ‘a contract, or part of a contract, that conveys the right to use an asset (the underlying asset) for a period of time in exchange for consideration’.

The 'right-of-use' concept, introduced in IFRS 16, is a whole new approach to accounting for leases. This means that if a firm has control over, or the right to use, a rented asset, it is regarded as a lease for accounting purposes and must be recorded on the company's balance sheet under the new regulations. IFRS 16 mainly considered the customer. The lessor is not affected by the standard. In Nigeria, most international Non-Governmental Organizations (INGO) may have more contracts containing leases.

IFRS 16, provides for treatment of lease in the book of the customer (lessee) different from the provision in IAS 17 (the old standard). While accounting for the lessor retains the same approach as that of the old standard.

1. **Accounting treatment in the books of the Lessee**
   a. **Identifying a Lease:** Not all lease contracts make it clear that there is a lease. A lease may exist despite the absence of phrases like 'lease, right to use, rent, right to right'. Assessing whether a lease exists inside a contract may necessitate using discretion. A contract is, or contains, a lease if the contract:
      - conveys the right to control the use of an identified asset (‘underlying asset’)
      - for a period of time
      - in exchange for consideration

The right to control the use of an identified asset is when a customer has the following rights throughout the period of use:

i. the right to obtain substantially all of the economic benefits from the use of the identified asset; and
ii. the right to direct the use of the identified asset

Exception to the rule

There are two specific types of lease that don’t come under IFRS 16 leases and which don’t have to be recorded as an asset:

i. A lease where the value of the item when new is low value, currently indicated as less than US$5000.
ii. A lease with a shorter than 12-month term and which does not have the option to buy the leased item at the end of the lease.

A lease will qualify for the low value asset exemption if it meets the following criteria:

- The underlying asset is not dependent on, or highly interrelated with, other leased assets.
- The lessee can benefit from using the underlying asset on its own or with other readily available resources.
- Within the suggested threshold of roughly $5,000 as the value of the underlying asset when new.
- The lease is not the head lease in a sublease arrangement.
- The nature of the underlying asset, when new, is typically low value.

The exemption can be applied on a lease-by-lease basis. Also, some companies may choose not to apply for the exemption because of the effect it may have on the performance.

Example

On 1st April 2018. Tenge acquires telephones for its sale forces under a two-year lease agreement. The term of the lease requires an initial payment of N2,000,000. Followed by two payments of N8,000,000 each on 31st March 2020.

Required:

Show the impact of this lease arrangement on the financial statement of Tenge for the year ended 31st December 2018.